

Stressed Assets Industry

Eroding Profitability in Public
Sector Banks of India

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Abstract

A healthy banking system is essential for the overall economic development and financial stability in a country. The Public Sector Banks are the backbone of Indian economy constituting over 70% of the banking system. But in recent times, the Indian banking sector has been facing a serious crisis relating to worsening asset quality. Rising Non Performing Assets are the major cause for this rise in Stressed Assets. And Public Sector Banks are having the highest level of stressed assets in the Indian Banking sector. Rising level of NPA, and in turn stressed assets, indicates an eroding asset value for banks leading to a situation where banks will not have the capital to conduct lending transactions, which would consequently affect the liquidity in the economy. This paper tries to analyse the various components of stressed assets over a period of time in public sector banks and how the asset quality of banks affect its profitability with an example of State Bank of India. This paper also tries to study the various possible measures banks can undertake in accordance with the existing legislations to reduce the level of stressed assets.

Key Words: Stressed Asset, NPA, Public Sector Banks

Introduction

With the banking sector in India growing at an increasing pace due to various Central government policies which encourages the creation of bank accounts and which has enabled the poor to access various financial services of the banks, there have been questions raised about the profitability of banks. In simple terms, the more profitable a bank is, the stronger our economy is since banks control the flow of credit into the economy and hence exerting a control over the functioning of the economy. But the banking sector in India is facing a struggle to remain profitable over the long term due to the increase in the amount of stressed assets which has created a strain on banks financial statements. By the end of September 2017, twenty one listed public sector banks had a combined gross Non Performing Assets (NPA) of Rs.7.3 lakh crores which is a growth of 26% from the previous year ("Economic Times", 2017).

Public Sector banks have the highest penetration of banking services among the Indian population and many depend on the low interest loans that these banks offer. If the banks do not have the sufficient financial resources to sustain lending, the credit flow to the economy slows down, which might cause the economic activity in the nation to slump. It would also mean that the government would be unable to get credit for various welfare programmes, which would grind major social and welfare projects to a stop. Not just the general public and the government, but if stressed assets cross the threshold, corporate companies and industries will not be able to take much loan, which in turn would affect their operations.

Stressed Assets consists of three components:

Non-Performing Assets (NPA): These are those loans that has defaulted in the payment of principle amount and interest. For banks, these are assets which provide them with no return or in other words, they are non-performing. Usually, when loans are defaulted, banks would try to sell off the assets of the debtor which were placed as a collateral at the time of applying for credit. But in most cases, the sale of assets will not yield the full amount of the principle since the value of assets might have changed over a period of time.

Restructured loan: When debtor applies for insolvency, banks, instead of writing off the full loan as a bad loan, would negotiate with the debtor for change in terms of the loan agreement. In most cases, the loan amount will be 'restructured' to make it easier for the debtor to repay, the maturity period would be extended and the interest rate would be lowered. Loans are usually restructured to 'avoid a complete loss' of the loan amount given. The bank would be more than happy to get back some of the money rather than getting nothing at all.

Written off loans: Governments usually write off loans to win support of the people and it is usually described as a practice of 'good politics but bad economics'. The problem of written off loans was highlighted recently due to some state governments giving in to the pressure of farmers, wrote off their loans worth crores. Written off loans are a total loss to the bank unless the government uses state machinery to repay the bank. But in this case too, the government would be using public funds to repay the debt, partly or fully, which could have otherwise been used in some other welfare or developmental program.

Since the end of 2006-07, there was a rapid growth in the advances given out. The time of rapid growth in advances was coincided by the start of the global financial crisis of 2008, which did not affect India largely. The government of India, in order to prevent a lack of demand that was happening around the world, began a cheap credit policy wherein public sector banks gave out loans at lower interest rates. This ensured sufficient liquidity in the economy and prevented a collapse of the Indian economy.

The objectives of this study are:

1. Analyse the current state of Stressed Assets in the Indian Public Sector Banks
2. Observe whether Gross Non Performing Asset (GNPA) affect the profitability of the Public Sector Banks with an example of State Bank of India.
3. Suggest Possible remedial action

Review of Literature

Shashidhar M. Lokare (2014) studied the Asset Quality Impairment and its Macro-Finance linkages in the RBI working paper WPS: 03/2014. Viral Acharya (2010) studied the macro economic impact of deposit transfers from private sector banks to public sector banks during the Financial Crisis of 2008. Ashima Goyal and Akhilesh Verma (2017) in a study found that demand was and is a key constraint for credit. Sreyan Chatterjee, Gausia Shaikh and Bhargavi Zaveri (2017) analysed and observed the economic impact of the Insolvency and Bankruptcy Code. In a study suggested some possible suggestions to the existing NPA crisis. Rajeshwari Sengupta and Harsh Vardhan (2017) conducted a comparative study on India's two recent banking crisis: in the 1990's and the current ongoing crisis. Their study tried to learn lessons from the 1990s crisis resolution and adopt some policy measures for the current crisis. They concluded that there needs to be a comprehensive reform in banking regulation and supervision and that early detection and action on doubtful assets mitigates the impact of the crisis. Shraddha Kokane and Dr. Shriram Nerlekar (2017) in a study analysed the relationship between Non Performing Asset levels of Public sector banks with the Capital Adequacy Ratio of each bank over a period of time. The study found that there is a negative correlation between the Capital Adequacy Ratio and Non Performing Assets and also observed there is a need for further research on the impact of recapitalization on banks. High level of NPA could lead to bank failures which in turn could threaten the stability of the economy.

In order to keep updated about the ongoing stressed asset crisis, various newspaper articles and annual reports of Public Sector Banks were read.

Research Methodology

The majority of data contained in this study is derived from secondary sources. Data relating to the Return on Assets (ROA), Net Profit, and Gross Non Performing Assets (GNPA) of State Bank of India was taken from the annual report of the concerned years. The data relating to the overall deposit and advances in Public Sector Banks (PSBs) is collected from the Reserve Bank of India Publications online. The graphs and tables are created in Microsoft Excel 2010 using the data collected.

To assess whether the rising stressed assets have an impact on the profitability of Public Sector Banks, the following were chosen over a period of 10 years:

- Net Profit
- Return on Asset (ROA) Ratio
- Gross Non Performing Asset (GNPA)

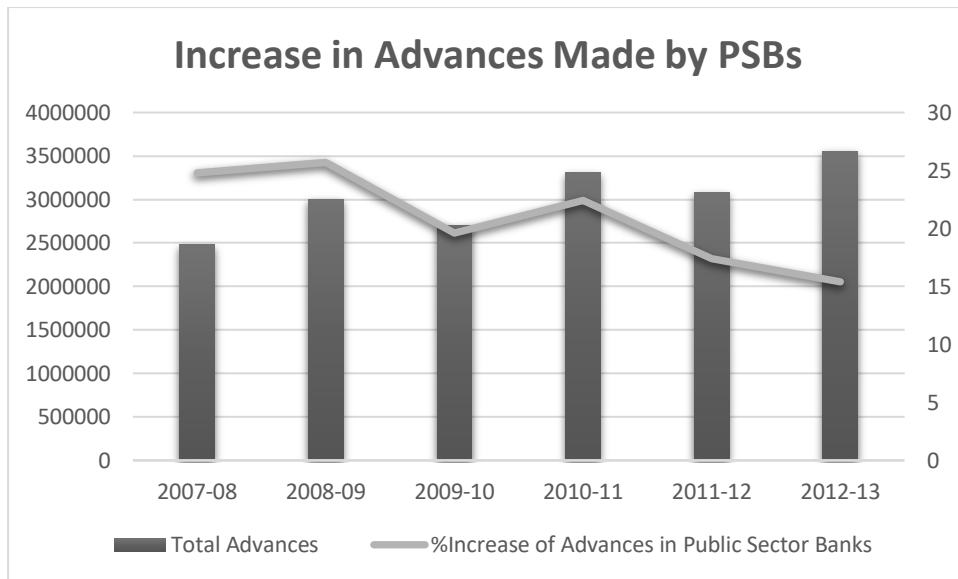
Due to time constraints, in order to assess whether the Gross Non Performing Assets affect the profitability of public sector banks, only one major bank was chosen for the study, the State Bank of India (SBI). The reason for the selection of this bank for the study is due to it being the largest commercial bank in India in terms of assets, deposits and employees. It is also a Fortune 500 listed company with a government ownership of 58.60%.

Non-Performing Assets (NPA)

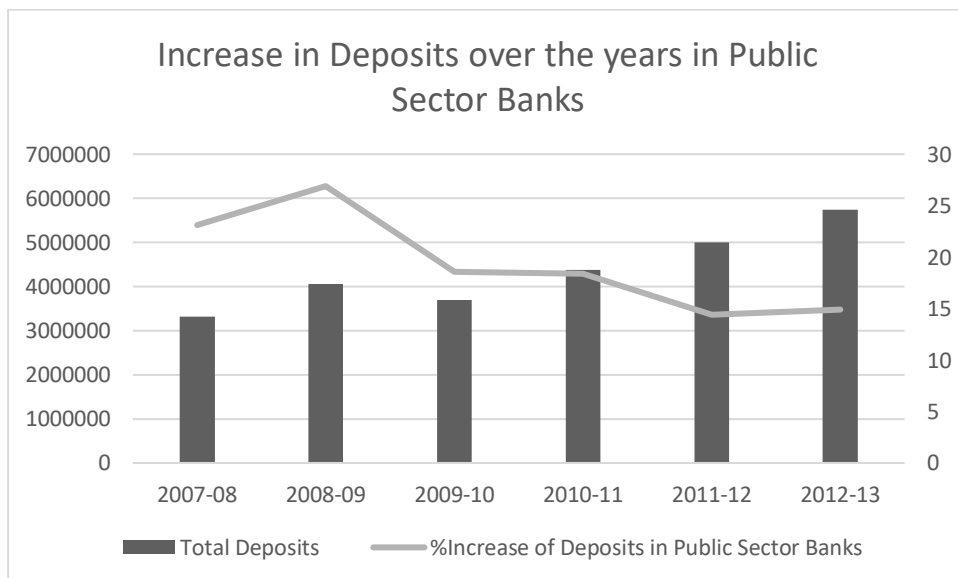
A Non-Performing Asset is a loan on which the interest and/or principle payment remains overdue for a period of 90 days. Another common term with similar meaning to that of NPA is 'bad loan'. As of September 2017, bad loans in Public Sector Banks stood at Rs. 7.34 lakh crore (Economic Times, 2017). As per Reserve Bank of India's Financial Stability Report of December 2017, NPA stand at 10.2% of all the assets. The following are the probable reasons for the rise of NPAs:

- Business failures like products failing to capture the market, inefficient management etc. which would cause a fall in the productivity and cause a dent in the ability of business to repay the credit they have taken.
- Wilful defaulting on loans which has become a major concern when defaulters having taken large sums of money as loan fails to repay.
- Growth of the economy, which affects all businesses positively or negatively.
- Non transparent accounting policy and poor auditing practice
- Lack of monitoring of potential toxic assets and their follow up.

The 2008 Financial Crisis did not affect India very much except a small tumble in the Indian stock markets. During the 2008 Crisis, state owned national banks lent out credit to the public and ensured liquidity in the market. In contrast, private sector banks were more careful and disciplined during the crisis in lending out money. This was largely due to the fact that private sector banks did not have government backing which the Public sector banks had. In other words, Indian Public Sector Banks are used by the government as engines for financial and economic growth. It is through the Public Sector Banks that the government is able to execute its financial and economic policies that affect the growth of the economy. Since Public Sector Banks are backed by the government, people trust that the money in public sector banks were safe as they had government backing. So in case of a public bank running out of cash, the markets were confident that the government would step in to protect the money of the public. This was the concept behind people investing higher sums of money in public sector banks during the crisis. During the crisis, the public sector banks witnessed an acceleration of term deposits. Also, there was an increase in transfer of deposits from the private sector banks to the public sector banks during the period of financial crisis. The profitability of the private sector banks declined during this period and Private sector banks witnessed a deceleration of asset growth during the financial crisis. The public sector banks gave out cheap credit, so as to ensure liquidity in the economy, which possibly lead to increased purchasing power and that further prevented an economic meltdown. But in doing so, Public Sector banks did not ensure proper credit worthiness of the borrowers. This would result in the increased amount of bad loans which the banks will have to either reclassify as a Non Performing Asset (NPA) or restructure the terms of the loan or write off the loan. This resulted an overall increase in stressed assets in India.



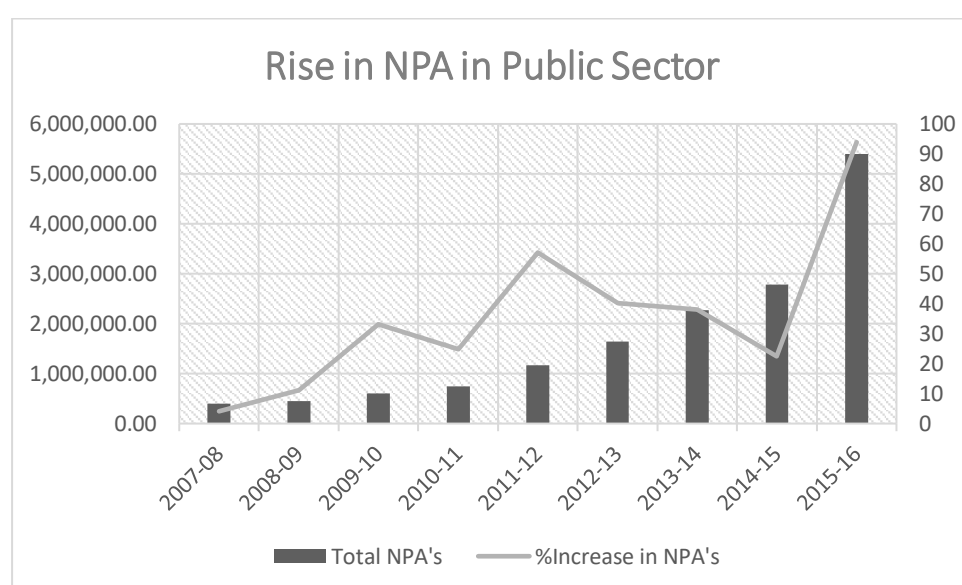
As seen in the graph, the year 2008-09 saw the highest increase in advances provided by the public sector banks at 25%. At this same period, private sector banks saw an increase of just 9%. This shows that in order to inject more cash into the economy, the government, through the Public Sector Banks, eased rates for lending loans and advances. In other words, the government initiated a cheap-credit policy to prevent an economic break down. After 2010, the advances lent out by the Public Sector Banks increased at a decreasing rate.



The year 2008-09 showed the highest increase in the rate of deposits in the public sector at 26.9%. Private Sector banks showed an increase of 24% in deposit during the same time period. The increased deposits with the public sector banks was due to the Public Sector Banks having a backing from the government. In other words, in case the public sector banks failed or a crisis, the public believed that the government would intervene to inject cash into these firms. This could have been the major reason as to what lead to more deposits being transferred to public sector banks from private sector banks. The best example for such transfers is the transfer of 10 billion Rupees by Infosys from ICICI to SBI after the collapse of Lehman Brothers (“Economic Times”, 2007).

But the years succeeding the crisis, there has been an increase in the growth rate of loan defaults especially among the public sector banks. During a period of economic downturn, there is a high probability of an increase in NPAs. This is mainly due to the fact that when economy is falling, people would be left with lesser disposable income and hence will not be able to repay their debt obligations. Bad Loans constitute about 20% of all the total loans.

The private sector banks, which were more careful in lending out loans to the public during the crisis period, saw cleaner balance sheets as compared to the public sector banks since borrowers of private sector banks honoured debt repayment obligations. This was largely due to the fact that private sector banks ensured a proper background credit worthiness of the borrowers. Besides, private banks charged a higher interest rates, enabling only a few proportion of the population to borrow money from these banks. The number of wilful defaulters have increased. There hasn't been a strong mechanism to identify the toxic assets in banks on time. Further procedures weren't defined clearly.



For more than one decade, the NPA's in banks were always going up. There had been a gradual increase in the amount of NPAs. In the recent years since 2015, there is an unprecedented jump in the increase of NPA's in Public Sector Banks. Wilful defaulters contained 27% of the total money owed to Public Sector Banks. As many as 1762 wilful defaulters owe Rs.25104 crore to SBI on March 2017.

Loans written off

Loans are written off usually by the banks when they see that there is not much they can do to recover the loan amounts. In order to gain political benefits, political parties and lawmakers undertook writing off loans as an option to win the support of the rural people. Written off loans can be large in amount, especially since many cluster of loans are being written off. As per data by the Finance Ministry, Public Sector Banks wrote off loans worth Rs. 516 crore in the first half of the current fiscal year. This caused an unplanned mismatch in the bank's balance sheet. In the first six months following the start of the 2017-18 financial year, the Public Sector Banks have written off loans worth Rs.55, 356. In the financial year 2016-17, Public Sector Banks wrote off loans worth Rs. 81683 crore. State Bank of India wrote off Rs.20339 crore in 2016-17. Non-Performing Loans, on which full provisioning has

been made on completion of four years, are to be written as per RBI guidelines and Bank Board policy. When banks write off loans, it does not mean that they would stop trying to recover the money from the borrower. The reason as to why banks write off loans is due to the fact that if these loans aren't written off, it would inflate the asset value or the value of lending in the bank's balance sheet, therefore overestimating the bank's profit or underestimating its loss. Write off also helps banks to avoid taxes on loss incurred. Banks try to recover the loan amount by trying to sell off assets provided by the borrower as security to the loan taken. Writing off bad loans might reduce the Non-Performing Asset (NPA) level of the banks since these bad assets are "declassified" from being assets, but it will not reduce the overall level of stressed assets of the banks since restructured loans form a part of stressed assets. Written off loans erodes the banks operating profit.

Debt Restructuring

In order to prevent losses, succeeding to 2010, banks undertook restructuring, the rate of which also went up after 2010. Strategic Debt Restructuring (SDR) and Corporate Debt Restructuring (CDR) had its own failures. Public sector banks have been burdened with toxic assets and loans which have gone bad. In order to minimize their loss, they restructured the loan. Interest rate and the principle amount were adjusted so as to enable the debtor more leverage in paying back the loan. But there is a wide gap observed between the corporate sector and the agricultural sector with respect to loan restructuring. In last three financial years (2014-15, 2015-16, 2016-17), Public Sector Banks restructured loans worth Rs. 6,09,661 in the industry sector, while a staggering Rs. 38646 crore was restructured in the agricultural sector. In January 2018, the Reserve Bank of India banned all forms of debt-restructuring and pushed for more comprehensive steps which would force companies unable to repay their loans to the National Company Law Tribunal (NCLT) for filing bankruptcy.

Corporate Debt

Corporate debt is a vital component that caused the rise of toxic assets. Corporate debt in India has risen to 55% of the country's GDP, showing a 12.24% increase from the last decade ("The Times of India", 2017). Many firms ran out of liquidity or wilfully defaulted their instalments, which lead to a rise in NPA in the banking sector. The former reason was mainly due to either poor management or economic activity levels. This caused another problem as each year, the banks increased their provisions and that affected the profitability of banks. And when banks aren't getting the amount they lent out, banks starts having liquidity crunch, preventing them from further lending out money. When banks do not lend out, the liquidity in the economy dries up, causing the economy to fall.

Just 12 companies are estimated to account for 25% of the total NPA and have been identified for immediate bankruptcy proceedings under the Insolvency and Bankruptcy Code.

Lending increased post 2010, when the rate of development in the country was up. The slow rate of growth after the implementation of demonetization is a cause of worry for the current banking crisis that involves stressed assets since the process has caused businesses to slump greatly. The implementation of the Goods and Service Tax (GST) has also slowed down the economic growth of the nation as it was expected since the implementation was expected to cause some economic slowdown. It is expected that unless specific measures are taken by the government, the growth rate is expected to slide during the year, affecting the profitability of banks. Also, once the crisis starts, public sector banks will be forced to concentrate its attention on credit risk management and would not be able to perform its vital functions as drivers of economic growth and stability.

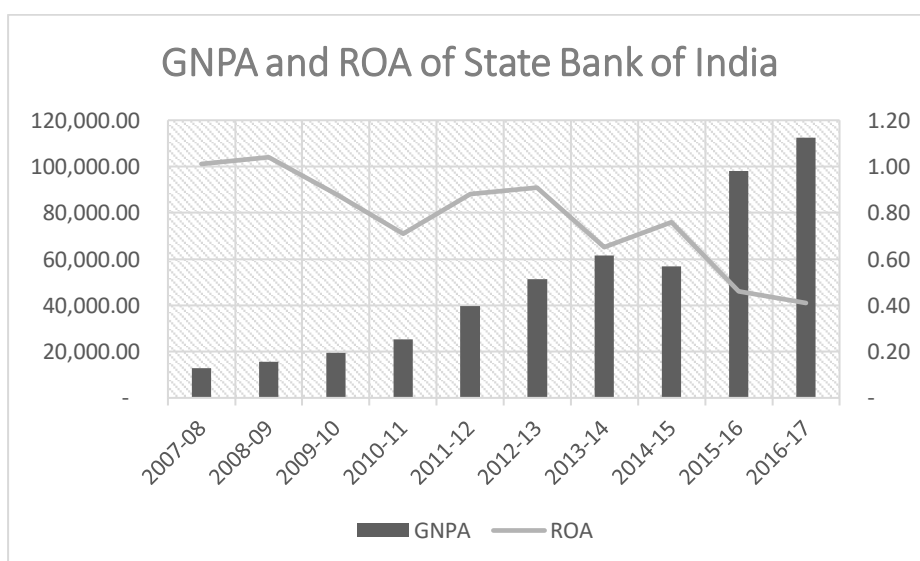
Assessing the link between GNPA and bank profitability

Year	Net Profit	ROA	GNPA
2007-08	9,212.83	1.01	12,837.34
2008-09	11,178.90	1.04	15,588.60
2009-10	12,020.54	0.88	19,534.89
2010-11	11,179.94	0.71	25,326.29
2011-12	15,829.45	0.88	39,676.46
2012-13	18,322.99	0.91	51,189.39
2013-14	14,489.47	0.65	61,605.35
2014-15	17,517.37	0.76	56,725.34
2015-16	12,743.29	0.46	98,172.80
2016-17	-390.67	0.41	1,12,342.99

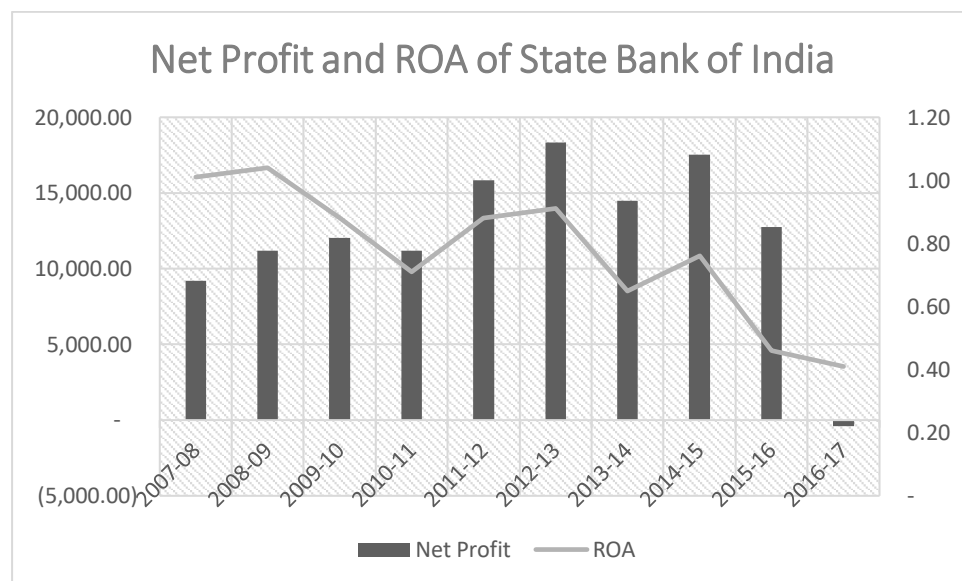
Source: State Bank of India Annual Reports

The above table shows the data from which various graphs and conclusions were made on the performance of State Bank of India over a period of 10 years. The data was chosen from the Financial Year 2007-2008, just the year before the start of the Global Financial Crisis. This period was chosen to get an idea of the bank's Return on Asset and other components just before the crisis unfolded and how it changed as the crisis progressed.

When the rate of stressed assets increase, the value of the bank's asset falls, resulting in lesser Return on Assets. In other words, lesser return on assets would mean that there would be a fall in the revenue being earned and also there would be a rise in the cost of managing these toxic assets. This results in the fall in profitability of the banks which would subsequently lead to banks not being able to lend out money. This would further mean that there would be a credit crunch in the economy which in turn leads to lesser investments as people would lose the confidence in public sector banks. Banks will not be able to provide much required loans to the Public Sector Banks lacked the expertise to assess the financial credibility and repayment capacity of these firms. Public Sector Banks also failed to monitor the amount.



The graph contains data relating to the GNPA and ROA of State Bank of India since 2001-08. As observed, Gross NPA is steadily rising over the years. But in the years succeeding 2015, there is a notable jump in the value of Gross NPA's held by SBI. The Return on Assets have witnessed a gradual decline over time with exceptions from 2011 to 2013. In 2014-15, the ROA rebounded to an upward growth but the succeeding years saw a substantial decline in ROA. It is notable that the GNPA also witnessed an increase post-2015. The substantial increase in GNPA lead to a downfall in the ROA ratio.



In the graph above, the Net Profit and the ROA of State Bank of India is shown over a period of 10 years. The Net Profits in SBI seems very stable even during the period of the Financial Recession of 2008. This is due to the increase in the amount of deposits that SBI received during this period which helped them survive the crisis. The other public sector banks too witnessed similar situation which lead to the Indian economy surviving the crisis of 2008. But one of the most important observation is the correlation between the Net Profit and ROA, especially during the period after 2010. The Net Profit of SBI fell every time the ROA fell and conversely, every time the ROA increased, the Net profit increased too. After 2014-15, there is major decrease in the ROA and at the same time, the Net profit of the bank is also decreasing. In 2016-17, the ROA came down to its lowest point in more than a decade to 0.41 and for the first time in more than a decade, the nation's largest public sector banks suffered its first loss.

The findings from the above two graphs can be concluded as follows:

- The amount of GNPA is negatively correlated to the ROA. In other words, more the GNPA in a bank, the ROA is likely to be lower
- The ratio of ROA and the amount of Net Profit is positively correlated such that lower the ROA, lower the Net Profit.
- ROA is an indicator of the profitability of the bank with respect to the assets it owns. Thus, an increase in the value of GNPA causes a probable decrease in ROA which in turn would lead to lesser profits for the bank, thus showing that GNPA can affect the profitability of banks.

- Similar observations can be made from other public sector banks as well. Since SBI is the largest market share holder amongst the public sector banks, if SBI's profitability is affected it would affect the credit growth in the economy.

Possible Solutions

- Asset Reconstruction Company (ARC)

It buys the bad loans from banks at a discount as high as 75% and then bundles the different loans together and sell it in the market as a Security Receipts. It helps in removing the burden of bad loans and/or toxic assets from the bank's balance sheet. The Securities and Exchange Board of India (SEBI) has allowed the listing of Security Receipts issued by an ARC on the stock exchange platform. This would boost capital inflows into the ARC's which would probably help in mitigating the bad loan crisis. As per RBI guidelines, all registered ARCs are advised that their minimum NOF requirement was fixed at Rs. 1 billion on an ongoing basis.

- Recapitalization

Public sector banks are the main backbone of the Indian financial market. Majority of the Indian population with accessibility to banking facility does transactions with public sector banks. They largely withdraw money from public sector banks since they offer low interest rates and other incentives not provided by a private sector bank which concentrates solely on profitability. In order for the public sector banks to survive the ongoing stressed asset crisis, they would be needing more funds, probably more than what the shareholders could raise. Here, the government steps in. The government would be injecting funds into banks in a process called recapitalization. Recapitalization is expected to be a short term measure to inject much needed liquidity into the banking sector. This is not financially prudent as this scheme would use up the money kept aside for other developmental schemes. Recapitalization is mainly provided in an attempt to revive the stressed assets of the banks and to enable the banks to boost credit lending. But it does not do much to reduce the level of stressed asset in the bank balance sheet.

Other Possible Solutions

The Insolvency and Bankruptcy Code (IBC) simplifies and strengthen the existing legal framework in relation to loan defaults. By giving the RBI increased power to clean up the toxic assets from bank balance sheet and to intervene at an early stage when the toxicity builds up, the government has shown a positive and bold step towards resolving this issue. The time of resolving the cases has been bought down by this legislation. The Reserve Bank of India has been given the authority to issue directions to banks for initiating insolvency proceedings and to resolve the stressed assets.

Banks are advised to constitute a Board-approved policy for making provisions for standard assets at rates higher than the regulatory minimum based on evaluation of market risks of various sectors.

There is also a need to explore the possibility and viability of introducing private partnerships in Public Sector Banks (PSBs). Robust Risk Management Techniques which includes periodic monitoring and identifying toxic assets and conducting risk assessments using analytics for better

decision making is required to quickly identify and deal with the stressed assets through the proper legal mechanisms. The evolution of technology and the advent of data analytics can be effectively used to identify potential risky assets and further action could be taken. Public Sector Banks must improve their Loan Recovery Methods. The banks themselves cannot make the whole system infallible and there is a need for the involvement of other stakeholders like the government who must ensure financial prudence and fiscal discipline in their policy decisions. The borrowers have the moral obligation to repay the amount borrowed. The Know Your Customer (KYC) forms must be thoroughly scrutinized and the credit worthiness of the borrower must be verified. The selection of top managements of banks must be made in a professional and efficient manner so as to ensure that the bank management has the expertise to deal with the crisis of stressed assets.

There is an urgent need to strengthen of the internal and external audit of the banks. The Indian banking system hasn't adopted the Basel 3 Norms as of yet and still follows the Basel 2 Norm. Basel 2 Norm requires banks to keep their Capital Adequacy Ratio to at least 8%. Looking at the current scenario in which banks are struggling to regain unpaid loans, there is a need for an external capital infusion into banks in order to reach the minimum threshold required for adopting. Banks need to find innovative and diverse methods to increase their capital base and thus improve their Capital Adequacy Ratio (CAR).

In order to cover losses arising out of stressed assets, the RBI has introduced the Provisioning Norms. Under these norms, if loss assets are permitted to remain in the books of the banks, the banks are to make a 100% provision of the outstanding amount. In the case of substandard assets, a general provision of 10% is to be provided on the total outstanding amount. In case of doubtful debts, an unsecured loan would make a 100% provision while a secured doubtful loan would lead to the following rates of provisions:

Tier I and Tier II Banks	
Period for which the advance has remained in 'doubtful' category	Provision Requirement
Up to one year	20 per cent
One to three years	30 per cent
Advances classified as 'doubtful for more than three years' on or after April 1, 2010	100 percent

Source: Reserve Bank of India Master Circular, 2015

Since the stressed assets in the banks are increasing, banks will be forced to keep aside higher provisions each year. Hence, setting aside provisions would help the bank face with an anticipated crisis but setting aside amounts for provision would increase the operating costs for the bank, which would directly affect the profitability of the banks. Hence, provisioning cannot be viewed as a long-term solution. Quick recognition of the assets that are expected to go bad are required. Proper recovery and/or revitalization of these assets are required. Assets need to be adequately identified and classified as NPA. The Provision Cover Ratio is 70%, i.e., Banks have to set a provision of about 70% of the current value of NPA their banks have. This has a negative impact on the profitability of the banks which could affect the total lending capability of the bank. The viability of merging two public sector banks must be explored as it will help the aforementioned banks to increase their capital base and sharing the burden to resolve the stressed assets.

In order to speed up the recovery process and to avoid backlog of cases in the Debt Recovery Tribunal and the National Company Law Tribunal, more benches needs to be setup. The IBC already prevents promoters of a liquidating company to apply for shares again.

Conclusion

As per the Financial Stability Report, the GNPA in banks are expected to go up to 11.1% by September 2018. For a robust financial system to operate efficiently, there needs to be credit discipline and appreciation of sanctity of commercial contracts. Recapitalization and provisioning are some of the short term steps that could be taken to enhance the banking operations and boost credit lending. Further research is needed to see whether recapitalization has actually attained its objectives of increasing credit growth. The Reserve Bank of India has been given more authority through recent legislations like the Banking Regulation Act (Amendment) and the Insolvency and Bankruptcy Code (IBC) to identify stressed assets at an early stage. This is seen to be a positive step taken by the Government of India to tackle the ongoing stressed asset crisis. But there is a need to use the advancement in technology to efficient use in identifying the potential toxic assets and taking steps as quickly as possible.

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